BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: White Mountain Health Center, Inc.	))))))))))	Docket No.: 2024-MMR-T0038-DHS NOTICE OF INTENT TO REVOKE MARIJUANA ESTABLISHMENT LICENSE AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services ("Department") is charged by Arizona Revised Statutes ("A.R.S.") § 36-132(A)(1) with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department ("Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act ("SASAA"), A.R.S. § 36-2854 *et seq*., was passed in November 2020 and became effective in December 2020. Rules adopted by the Department to implement the SASAA, Arizona Administrative Code ("A.A.C") R9-18-101 *et seq*., became effective January 15, 2021, as thereafter amended ("Rules"). *See* A.R.S. § 36-2854 (giving the Department rulemaking authority under the SASAA).

The Department is authorized to revoke a marijuana establishment license if the marijuana establishment violates the SASAA or the Rules. A.R.S. § 36-2854(B)(1)(a); A.A.C. R9-18-316(C)(3).

II. MARIJUANA ESTABLISHMENT LICENSE HISTORY

White Mountain Health Center, Inc. ("White Mountain") applied for and was awarded a marijuana establishment license (No. 00000083ESGB09219996), effective January 22, 2021 ("License"), for a Marijuana Establishment located at 9420 W. Bell Rd., Ste. 108., Sun City, AZ 85351 ("Establishment"). The License has a current expiration date of January 21, 2025.

III. REASONS FOR DEPARTMENT'S INTENT TO REVOKE THE MARIJUANA ESTABLISHMENT LICENSE

On June 12, 2023, the Department conducted a compliance inspection at the Offsite Establishment Cultivation site located at 12475 W. Alice Ave., El Mirage, Arizona 85335. During the inspection, Department Compliance Officers ("Compliance Officers") observed violations of the SASAA and the Rules, which were noted in a Statement of Deficiencies dated June 12, 2023 ("June 2023 SOD"). The June 2023 SOD is attached hereto as Exhibit A and incorporated by reference. Compliance Officers observed the following violations.

A. Violation of A.A.C. R9-18-314(A)(6), -315(A)

The Establishment failed to ensure that the licensed premises are maintained free from hazards. *See* A.A.C. R9-18-315(A). The Establishment also failed to ensure that any supplies used in the preparation of marijuana products, including flammable or volatile chemicals, are stored in a manner to avoid a hazardous condition from occurring. A.A.C. R9-18-314(A)(6).

Compliance Officers observed an unsecured tank labeled "Danger," "Propane," "Butane," and "Flammable" located near the edge of a three to four-foot steel extraction table. There were three metal cords connected to the valve of the tank that went into two uncovered orange buckets sitting on metal pans on the floor. In addition, three red, uncovered coolers were buttressed against a wall directly under two silver electrical outlets and were filled more than half full of water. One of the red coolers was directly under a power strip, which was plugged into an outlet located behind the cooler.

B. Violations of A.A.C. R9-18-308(A)(2)(c)(i)

The Establishment failed to develop, document, and implement policies and procedures regarding inventory control, including tracking marijuana. *See* A.A.C. R9-18-308(A)(2)(c)(i). The Establishment's policies and procedures state that an inventory control system will track inventory from seeds or cuttings until the product is sold to consumers, and that the tracking of marijuana or marijuana products should include harvest date, batch number, origin, and strain. Furthermore, the policies and procedures state that the Establishment will conduct an audit of inventory at least every

30 days. The inventory control procedures were not followed based on the following observations at the licensed address:

- Unlabeled marijuana products (of unknown strain, batch number, and amount) were stored in boxes in a locked room. The labels on the boxes did not match the products that were labeled in the bulk packages. Some of the bulk packages had no information. This same scenario was found in each box that was checked in the room.

- A cabinet in the room contained distillate that was also unlabeled. Marijuana flower was located in two safes within the hall area, and, across from the safes, jars of marijuana flower were observed also without labels.

- Bulk marijuana flower was also observed in the upstairs office where agents work. Compliance Officers observed a bin of marijuana flower under a desk that did not have any information that would allow the product to be tracked in the inventory control system. When asked to supply the Certificate of Analysis ("COA") for the bin, FA6 reported that they would not be able to do so because the bin of marijuana flower had no identifying information.

- All of the boxes of marijuana observed were only labeled, "Hybrid Blend" without a strain, batch number, or amount. This presents health and safety concerns because the marijuana could potentially be labeled with any batch number, strain, or name then potentially attached to an old or past COA and sold to consumers.

- Bulk marijuana flower was obtained from one of the safes in the storage room and from a jar of packaged marijuana to match with COAs. However, this attempted match was unsuccessful; FA6 reported that they were unable to pull any COAs because the bulk marijuana flower did not have a batch number.

- A documentation review of trip plans showed marijuana being transported from the dually licensed location to the establishment cultivation site for destruction, which is a violation of the Establishment's policies and procedures. The reviewed policies and procedures indicate that each licensed address is to dispose of its own unusable marijuana or marijuana product. FA1 confirmed that they pick up marijuana to be destroyed and return it to the cultivation site.

In addition, it was reported that it is a standard and normal business procedure for marijuana product invoices to be processed through the retail site's accounting system for dollar assignment with no expectation of actually receiving it. An interview with FA8 confirmed that

although distillate Batch #7102 2280 2637 1960 (0745 3018 7364 3691) was processed through the retail site, the physical product was actually never received.

During an interview, FA1 candidly shared that there was an increase in marijuana sales during COVID-19. With the approval of the adult use of marijuana, demand increased again. According to FA1, the cultivation site could not meet the increased demand but was doing everything it could to "keep up." FA1 explained that now that demand has decreased, the location has an abundance of marijuana. Upon further inquiry, FA1 acknowledged that the Establishment lost control of the processes.

C. Violations of A.A.C. R9-18-310(B)(2) and -311(A)(1)

The Establishment failed to ensure that a copy of the testing results from a marijuana testing facility for the marijuana or marijuana product was provided to the receiving marijuana establishment or dispensary. *See* A.A.C. R9-18-310(B)(2). A review of Purchase Order ("PO") #202916 did not contain a COA for the product purchased by and sold to the dispensary. FA1 confirmed that the testing result for distillate Batch #7102 2280 2637 1960 (0745 3018 7364 3691) was not available on site. On June 12, 2023, FA1 contacted a third party in an effort to obtain the testing results; however, no testing results were received at the time of the inspection. As a follow up to this issue, on June 16, 2023, FA2 sent COA testing results to the Department, but those were not associated with distillate Batch #7102 2280 2637 1960 (0745 3018 7364 3691). Instead, the COA testing results were for Batch# T220-12.14.22. Of importance, the communication noted that the marijuana product was sent for testing on June 14, 2023, which was two days *after* the onsite inspection. The communication also noted that the marijuana product was sent for testing and that the product had not been sold. FA7 informed Compliance Officers that White Mountain purchase order #202916 with Batch #7102 2280 2637 1960 (0745 3018 7364 3691) had been paid with check #1048 on May 11, 2023 by Riggs Equity Investments, LLC. Additionally, FA7 conveyed responsibility for accounting regarding RFF, Flav, and Sweet Science vendors, who are all associated with White Mountain.

With regard to A.A.C. R9-18-311(A)(1), and because the Establishment failed to maintain

adequate testing records, the Department was unable to confirm the Establishment's compliance with testing requirements. Specifically, the Establishment failed to ensure that, except as provided in A.A.C. R9-18-311(A)(2), each batch of marijuana is tested in compliance with the requirements in R9-18-408 and Table 3.1 before offering a batch of marijuana or marijuana product for sale, or otherwise transferring marijuana or a marijuana product to a consumer. *See* A.A.C. R9-18-311(A)(1).

The Establishment's records revealed that final products that were sent out on July 30, 2021 under Batch #VE53 to White Mountain's retail store, as documented on invoices 125720 and 125736, did not comply with all testing requirements. For all the products that were listed on invoices 125720 and 125736, documents revealed that the only testing that was provided by the Establishment included Sweet Science Tigers Blood Bulk Distillate under Batch #1932074996471918 (VE53) and Sweet Science Platinum OG Bulk Distillate under Batch #2090276259253905 (VE53). Sweet Science Tigers Blood Bulk Distillate was only tested for potency and cannabinoids but not for pesticides, residual solvents, heavy metals, *E. coli*, salmonella, mycotoxins, or *Aspergillus*. Sweet Science Platinum OG Bulk Distillate was only tested for potency, cannabinoids, mycotoxins, *Aspergillus*, *E. coli*, and salmonella; it was not tested for pesticides, residual solvents, or heavy metals. FA2 provided partial testing results; however, it was for products unrelated to those listed on invoices 125720 and 125736.

In addition, a review of White Mountain purchase order #202916 revealed no COA (marijuana product testing) available for review by the Department. It was discovered that Riggs Family Farm ("RFF"), a vendor working under the Establishment's license, failed to ensure that each batch was tested in compliance with requirements in R9-18-408 and Table 3.1.

D. Violation of A.A.C. R9-18-311(B)(1)

The Establishment failed to ensure that a batch of marijuana or marijuana product is stored in a location away from marijuana and marijuana products offered for sale or transfer until testing of the marijuana or marijuana product had been completed and that the testing results received by the marijuana establishment comply with the requirements in R9-18-408 and Table 3.1. *See* A.A.C.

R9-18-311(B)(1). During the facility walkthrough, it was discovered that marijuana that had been assigned batch numbers and labels was stored together with unlabeled and unbatched marijuana in the same holding container. FA1 informed Compliance Officers that the unlabeled marijuana would be labeled when the product was transferred for sale. However, further inquiry revealed that the unlabeled marijuana was not trackable in the inventory system due to a lack of identifying information.

E. Violation of A.A.C. R9-18-312(E)(2)(b) and -312(E)(2)(d)

During the transportation of marijuana or marijuana product, a marijuana facility agent failed to use a vehicle that (1) is equipped with a global positioning system or other means of tracking the location of the vehicle (*see* A.A.C. R9-18-312(E)(2)(b)), and (2) contains a locked compartment in which any marijuana or marijuana products that are being transported may be stored during a trip (*see* A.A.C. R9-18-312(E)(2)(d)). FA2 revealed to Compliance Officers that the vehicles used to transport marijuana were in the shop, so FA1 has been transporting and delivering marijuana products using his personal vehicle. An observation of FA1's personal vehicle did not reveal a global position system or other means of tracking the location of the vehicle, or a locked compartment where marijuana can be stored while being transported.

F. Violation of A.A.C. R9-18-314(A)(1), -314(A)(2), and -314(A)(6)

The Establishment failed to ensure that any building or equipment used by the Establishment for the cultivation, harvest, preparation, packaging, storage, infusion, or sale of marijuana or marijuana products is maintained in a clean and sanitary condition. A.A.C. R9-18-314(A)(1). The Establishment also failed to ensure that marijuana or marijuana products are protected from flies, dust, dirt, and all other contamination during the process of production, preparation, manufacture, packing, storage, sale, distribution, and transportation. *See* A.A.C. R9-18-314(A)(2).

With regards to A.A.C. R9-18-314(A)(1), Compliance Officers' observation of the packaging and storage room revealed that the following equipment was unclean and not in a sanitary condition: (1) a Weston vacuum sealer was observed with marijuana debris, (2) an Etekcity

electronic scale located on a window seal was observed with marijuana debris, and (3) a Top-100, Capacity 100g digital scale was observed on an unclean manufacturing table and presented with various caked-on yellowish-white debris.

For A.A.C. R9-18-314(A)(2), Compliance Officers' observation of the kitchen area revealed a white rag on the processing table along with shipping papers, scales, packaging bins, packaging bin lids, and butter. An observation of a different room revealed what appeared to be a high number of mouse droppings; however, upon further inspection, it was actually a high number of dead bugs in one area.

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and pursuant to A.R.S. § 36-2854(B)(1)(a) and A.A.C. R9-18-316(C)(3), the Department intends to revoke White Mountain's License (No. 00000083ESGB09219996) for failure to comply with SASAA and the Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Marijuana Establishment License ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Megan Whitby, Deputy Assistant Director, Public Health Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite

410, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of White Mountain's License (No. 00000083ESGB09219996) **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of White Mountain's License will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 25th day of October, 2023.

ARIZONA DEPARTMENT OF HEALTH SERVICES

McKenna Baker
Director's Designee

ORIGINAL filed this 25th day of October, 2023, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 25th day of October, 2023 to:

Lloyd Levidow, Owner
Jeffrey Scott Kaufman, Owner
Russell Clayton Riggs, Owner
Daryl Wayne Williams Jr, Owner
White Mountain Health Center, Inc.
9420 West Bell Road, Suite 108
Sun City, AZ 85351

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 25th day of October, 2023, to:

Lloyd Levidow, Owner
Jeffrey Scott Kaufman, Owner
Russell Clayton Riggs, Owner
Daryl Wayne Williams Jr, Owner
White Mountain Health Center, Inc.
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